

T-MOBILE US, INC.

(NASDAQ: TMUS)

The Best-Run US Wireless Carrier, Compounding Through Buybacks

BUY — \$205.00 Target

Equity Research Note · Communication Services — Wireless Telecom · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$205.00	\$163.64	+25.3%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$175.5 bn (1.073 bn sh × \$163.64)	2026E revenue / FCF	\$92.0 bn / \$18.0 bn (model inputs)
52-week range	~\$160.81 – \$231.02	Net debt	~\$83.5 bn (merger-era, declining)
Position	#2 US wireless carrier by subscribers	Capital return	Buybacks retiring high-single-digit % of shares in peak years + dividend
Network	Deepest mid-band (2.5 GHz) 5G spectrum post-Sprint	Growth vector	Fixed-wireless home internet at high incremental margins
Churn	Industry's lowest	Implied upside	+25% to \$205.00 fair value

1 Investment Thesis

T-Mobile is the best-run wireless carrier in the United States, and it is not close. The Sprint merger delivered the spectrum depth that now underwrites the industry's best 5G network; postpaid subscriber growth has led the industry for years; and the synergy realization is largely complete, which means the earnings story from here is straightforward operating leverage plus capital return. The market treats wireless as a zero-sum share-shift game; T-Mobile is the company doing the shifting.

Our judgment is that the next leg of the story is the convergence of subscriber growth, ARPU stability, and a buyback program funded by prodigious free cash flow. T-Mobile's network advantage is durable because mid-band spectrum cannot be quickly replicated, and the company's brand and value positioning keep churn the lowest in the industry. We tested the growth assumptions against demographic and household-formation data rather than extrapolating the Sprint-era surge; even normalized, the subscriber trajectory supports the valuation.

At \$163.64, the valuation implies the growth premium fades quickly. Our probability-weighted fair value is \$205.00, a 25% expected return, earned through continued subscriber gains, margin expansion, and one of the most aggressive buyback programs in large-cap telecom. The bear case — stalled subscriber growth and promotional pressure — is genuinely adverse and sits well below today's price.

Fixed wireless is the growth vector the market still undervalues. Home internet over the 5G network monetizes excess capacity at very high incremental margins, and T-Mobile has scaled it to millions of subscribers faster than skeptics expected. The addressable market is large, the product keeps improving with network densification, and each subscriber adds revenue with minimal incremental cost.

Why the market will care (eventually)

- **The spectrum advantage is physics, not marketing.** Mid-band holdings deliver a combination of speed and coverage that competitors cannot match without years of additional investment. Network quality is the primary driver of both gross additions and churn — and independent speed tests have consistently ranked T-Mobile first.

- **Operating leverage plus buybacks is the compounding formula.** Mid-single-digit service revenue growth against a largely fixed cost base, EBITDA margins expanding as the base scales, and the share count shrinking several percent per year. It is a compounding story, not a transformation story.
- **Underpenetrated segments extend the runway.** Smaller markets and rural coverage (where spectrum depth now allows credible competition), business and government accounts, and fixed wireless — the switcher pool in these segments is large and the share gains are still early.

2 Business Overview — What T-Mobile US Is Doing

T-Mobile US is the second-largest wireless carrier in the United States by subscribers, offering postpaid, prepaid (Metro), and wholesale wireless services, plus a fast-growing fixed-wireless home internet business. The 2020 acquisition of Sprint gave T-Mobile a deep mid-band spectrum portfolio (2.5 GHz) that powers its 5G network, widely regarded as the fastest and most extensive in the country.

The economics are those of a scale telecom: high fixed costs, very low marginal cost per subscriber, and therefore powerful operating leverage as the base grows. Churn is the key operating metric, and T-Mobile's is the industry's lowest. Free cash flow, now that merger integration spending is behind, funds dividends and large buybacks.

Postpaid phone is the core: the highest-value subscriber segment, where T-Mobile has led the industry in net additions for years. The value positioning — premium network at a discount to AT&T and Verizon pricing — continues to pull switchers, and the business-account segment, historically underpenetrated, is now a deliberate growth focus. Prepaid (Metro) and wholesale add scale without proportional cost.

What the company is doing now

- **Postpaid: the share-gain engine.** Industry-leading net additions for years; value positioning keeps pulling switchers from the two larger carriers.
- **Fixed wireless: monetizing excess capacity.** Home internet over 5G at very high incremental margins, scaled to millions of subscribers; the product improves as the network densifies.
- **Enterprise optionality.** Network slicing and standalone 5G open private-network, IoT, and low-latency use cases at higher ARPU — not underwritten in the base case, but lengthening the growth duration.
- **The capital-return machine.** With integration spending complete and leverage declining, buybacks retire a high-single-digit percentage of shares in peak years; total shareholder return from capital return alone is meaningful before any growth.

3 Financial Analysis

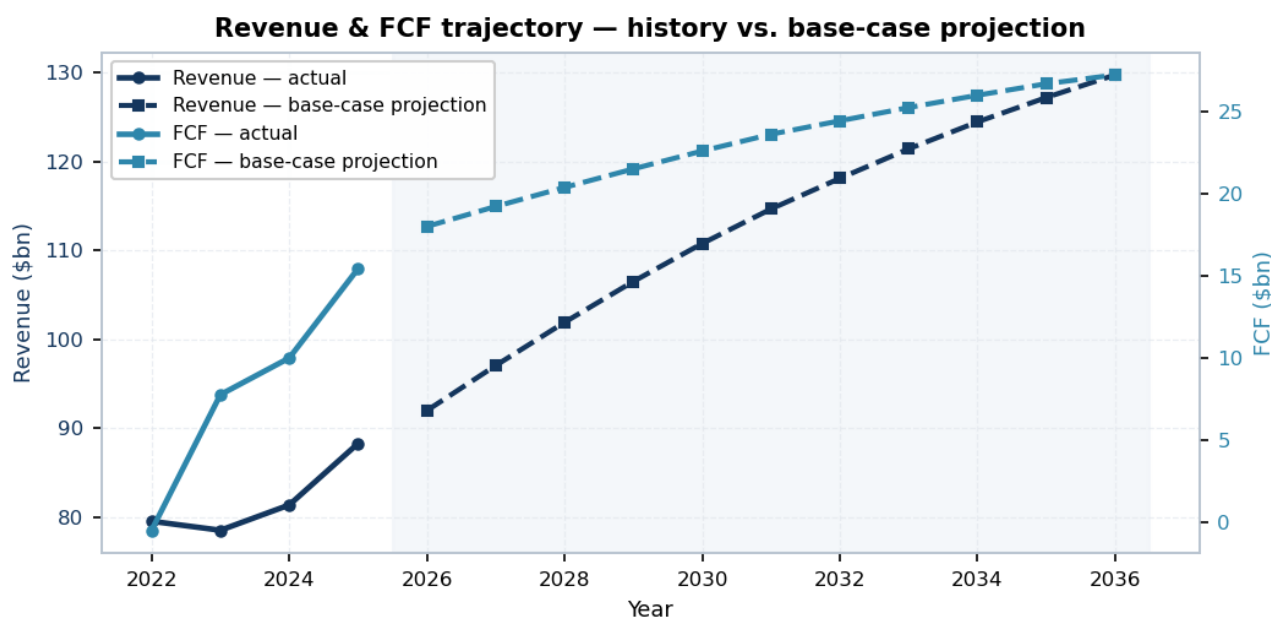
\$ bn	2022	2023	2024	2025 (TTM)
Revenue	79.57	78.56	81.40	88.31
Free cash flow	−0.52	7.75	9.98	15.43

Sources: company filings via Yahoo Finance. 2025 = trailing twelve months.

Revenue was \$79.57 billion in 2022, \$78.56 billion in 2023, \$81.40 billion in 2024, and \$88.31 billion trailing in 2025 — the growth re-accelerating as the Sprint integration completed. Free cash flow tells the merger story in one line: −\$0.52 billion in 2022 (integration peak), \$7.75 billion in 2023, \$9.98 billion in 2024, \$15.43 billion trailing in 2025. The harvest phase has begun.

The balance sheet still carries ~\$83.5 billion of merger-era net debt, which is why buyback capacity depends on continued deleveraging — and why the bear case stresses it. But the trajectory is one-directional: integration capex behind, leverage falling, FCF compounding.

Revenue & cash-flow trajectory

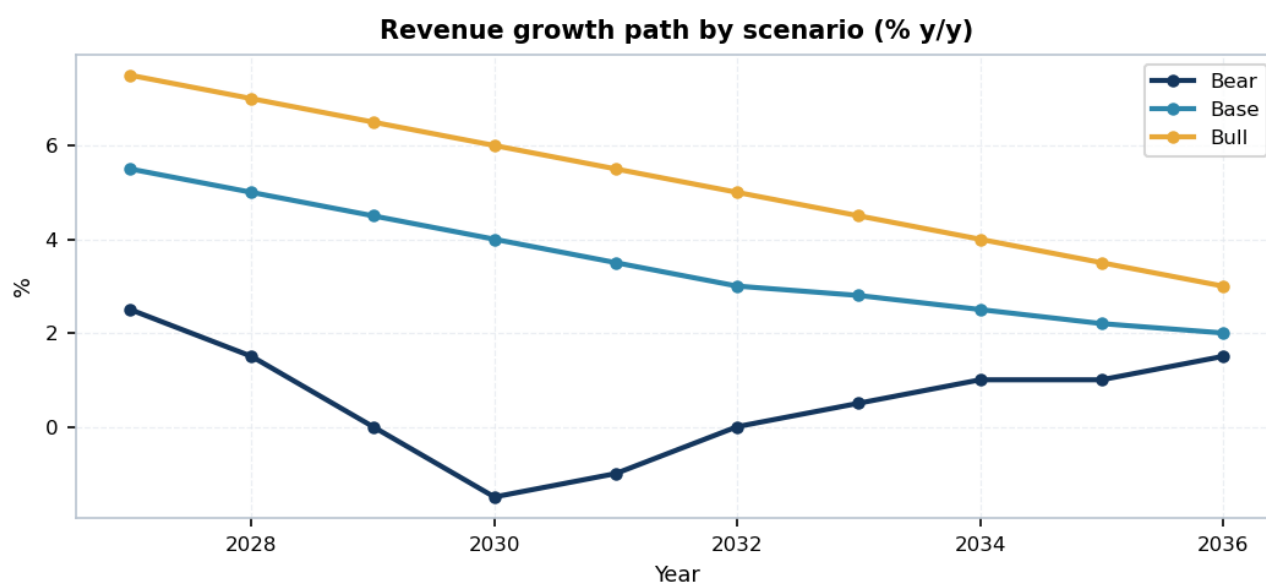


History: company filings via Yahoo Finance (2025 = TTM). Projection: model base-case path — revenue growth 5.5% tapering to 2.0%, FCF margins ~20–21%.

4 Moat & Competition

- **Mid-band spectrum depth.** The Sprint-derived 2.5 GHz portfolio delivers speed plus coverage that competitors cannot replicate without years of investment — the foundation of the network advantage.
- **Lowest churn in the industry.** Network quality plus value positioning produce the industry's lowest churn, which compounds subscriber economics over time.
- **Scale operating leverage.** High fixed costs and near-zero marginal cost per subscriber convert base growth into margin expansion mechanically.
- **Fixed-wireless capacity monetization.** Excess network capacity sold as home internet at very high incremental margins — a growth vector competitors with thinner spectrum cannot match as efficiently.

Revenue growth path by scenario (% y/y)



5 Valuation — 10-year scenario FCF DCF, Fair Value \$205

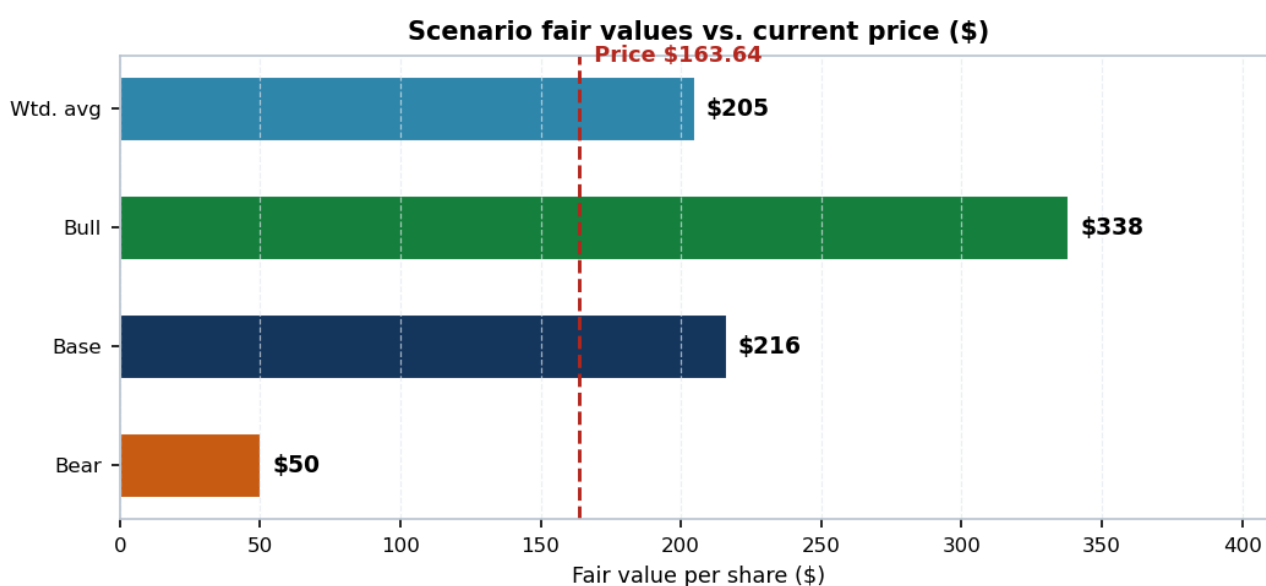
We value T-Mobile on a 10-year scenario free-cash-flow DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 11.5% (base + 250bp), base 9.0% (stable, cash-generative telecom leader), bull 8.0% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.0% on year-10 free cash flow. Net debt of ~\$83.5 billion is subtracted from enterprise value; 1.073 billion diluted shares.

Scenario fair values: bear \$50.30 (stalled subscriber growth, promotional ARPU pressure, slower buybacks), base \$216.30 (continued industry-leading net additions tapering to market growth, stable ARPU, 3.5% revenue CAGR, year-10 EBITDA margin 40.2%), bull \$338.20 (faster share gains in underpenetrated segments, stronger fixed-wireless growth, 5.2% revenue CAGR). Probability-weighted: \$205.

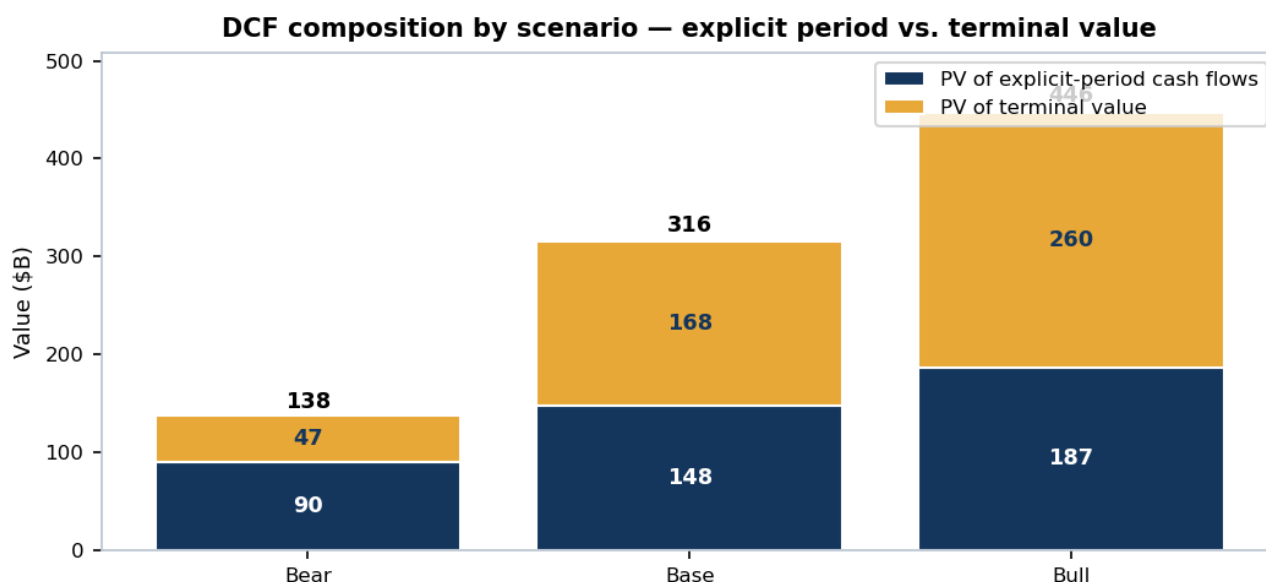
Sensitivities: the valuation is most sensitive to the long-term net-addition trajectory and the buyback pace. If net additions faded to market growth sooner than modeled, fair value declines by roughly a tenth; if buybacks run above our assumed pace, it rises similarly.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Subscriber growth stalls; promotional intensity compresses ARPU; buyback slows while leverage stays elevated	+0.5%	35.0%	11.5% / 1.0%	34%	\$50.30
Base	Continued industry-leading postpaid net additions tapering to market growth; stable ARPU; margin expansion from operating leverage; buybacks at recent intensity	+3.5%	40.2%	9.0% / 2.0%	53%	\$216.30
Bull	Faster share gains in underpenetrated segments; stronger fixed-wireless growth; enterprise 5G optionality contributes	+5.2%	44.0%	8.0% / 2.0%	58%	\$338.20
Wtd. avg	Probability-weighted (25/50/25) → \$205.00 target					\$205.00

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$B. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Competition.** AT&T and Verizon can match promotions and network claims; cable MVNOs compete aggressively on price.
- **Saturation.** The US wireless market is mature; long-term growth depends on share gains and ARPU, both of which can stall.
- **Capital intensity.** Network leadership requires sustained capex; technology shifts (e.g., satellite) could alter the investment calculus.
- **Regulatory.** Spectrum policy, merger scrutiny, and consumer-protection rules affect strategy and costs.
- **Leverage.** The balance sheet still carries merger-era debt; buyback capacity depends on continued deleveraging.
- **Price competition.** A sustained price war would compress ARPU across the industry.

What would change our mind

Downgrade to HOLD if postpaid net additions turn negative for two consecutive quarters (the share-gain engine stalled), if churn rises to parity with competitors (network and brand advantage eroding), or if ARPU declines persistently under promotional pressure. Buybacks slowing materially while leverage stays elevated would remove a key per-share compounding driver.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts

are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.